Case Study

1. The company gets 30% of marginal profit for every year, but not increasing the salary of the employees for last three years. The employees conduct the indefinite strike against the company. Assume you are the manager of the company. How to solve the problem with using MBO or MBE?

Exercise

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I. Choose the Correct Answers:

1. _____ System gives full Scope to the Individual Strength and Responsibility.

(a) MBO (b) MBE

(c) MBM (d) MBA

2. Which is the First step in Process of MBO?

(a) Fixing Key Result Area

(b) Appraisal of Activities

(c) Matching Resources with Activities

(d) Defining Organisational Objectives

3. _____ keeps Management Alert to Opportunities and Threats by Identifying Critical Problems.

(a) MBA (b) MBE

(c) MBM (d) MBO

4. Delegation of Authority is Easily Done with the Help of _____ .

(a) MBM (b) MBE

(c) MBO (d) MBA

5. MBO is popularised in the USA by _____ .

(a) Prof. Reddin (b) George Odiorne

(c) Henry Fayol (d) F.W Taylor

Answers:

1	a	2	d	3	b	4	c	5	b

II. Very Short Answer Questions:

1. What are the objectives of MBO?
2. Bring out the meaning of MBE.
3. Mention any two advantages of MBO?
4. What is known as KRA?

III. Short Answer Questions:

1. Write the features of MBO.
2. What are the Process of MBE?
3. List out any three process of MBO.

IV. Long Answer Questions:

1. What are the major advantages of MBO? (any 5)
2. What are the advantages of MBE? (any 5)
3. Discuss the disadvantages of MBE.

References:

1. Gupta. C. B, 2006, "Management Theory and Practice", Reprint. ed., Sultan Chand & Sons Pvt. Ltd., New Delhi-110 002.
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